

Online Goods and Services

Online Services Overview

- **Access Evolution:** Before the development of the internet, remote access was possible using the telephone or postal systems. Making services available online has enabled us to access them anywhere with any connected device.

Types of Online Service

- **Shopping Sites:** When a user shops online, they use a product catalogue.
 - **Product Catalogue Contents:** Can store an image of the product, a product description, the product's price, ratings by customers, shop staff or other people on review sites, the popularity of the product, a product code, and the number of items in stock.
 - **Categorisation:** Products are often grouped into types or categories displayed in menus with sub-categories appearing in sub-menus.
 - **Basket & Checkout:** Baskets keep a record of the items that the customer selects. At the checkout, they can enter their delivery details and pay. Sometimes, customers can use voucher codes in order to receive a discount.
 - **Security & Accounts:** Shopping sites often offer secure payment systems. Customers can often shop as a "guest" without creating an account.
- **Booking Systems:** Train tickets, airline tickets and bus tickets can all be purchased online.
 - **Features:** Customers choose travel times, the number of tickets, and the type of tickets.
 - **Delivery:** Tickets are often sent via email. Companies use e-tickets linked to the customer's passport, or QR codes that can be scanned.
- **Banks:** Offer online services including checking balances, setting balance alerts, making payments and transfers, applying for loans and other financial products, managing alerts and notifications, accessing customer service, and changing personal information.
- **Education and Training Providers:** Online training courses allow learners to access libraries of online journals, online support from teachers and other learners, and learning and assessment materials. This access is provided through virtual learning environments (VLEs).
- **Gaming Sites:** Online applications that allow users to play games that are hosted on a remote server, including real-time multiplayer games.
- **News and Other Information Providers:** Give up-to-date access to stories using blogs and notifications sent to subscribers. Provide real-time notifications about weather, sports, stock markets, and currency values.

- **Auction Sites:** Allow sellers to list items for sale for a certain period of time and allow buyers to offer money. Items can also be listed with a fixed price.
 - **Ratings:** Provide ratings for buyers (for being reliable and paying on time) and ratings for sellers (for being reliable and sending items promptly).
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Impact on Lifestyle and Behaviour

Benefits of Online Goods and Services

- **Time Management:** Gives people more time to do important things such as spending time with family, socialising with friends or working.
- **Online Grocery Shopping:** Allows customers to easily reorder the same products, avoid having to travel to the supermarket, check whether items are in stock, and avoid having to wait in queues to pay.
- **Online Booking Systems (Rail):** Allows customers to avoid having to go to the station to buy a ticket, avoid having to queue, buy tickets in advance, and be notified if there is a delay.
- **Online Banking:** Allows customers to avoid travelling to the bank to check balances and transfer funds, and avoid carrying cash, which is safer for the individual.
- **Online Learning Services:** Users avoid having to travel or move closer to colleges or universities.
- **Online Information Providers:** People receive weather alerts or traffic advice, and can be rerouted automatically based on traffic conditions.
- **Lifestyle Summary:** More time can be spent with family and friends, a safer lifestyle as there is no need to carry cash, and individuals are more engaged with creative media like art, photography, videos and drama.

Drawbacks of Online Goods and Services

- **Patience:** The immediate availability of online services could make people less patient and more demanding of others.
 - **Isolation:** People become more isolated as individuals and detached from their real-world communities.
 - **Communication Skills:** Checking online communications constantly means spending less time connecting face-to-face, which reduces face-to-face communication skills.
 - **Memory & Attention:** Less need to memorise facts causes a negative impact on memory. People become accustomed to skim-reading online information, making them less likely to pay attention to details.
 - **Lifestyle Summary:** More time is spent using online services, individuals can be inconvenienced if no connectivity is available, and individuals may become less active.
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Impact on the Ways that Organisations Do Business

Changes in the way organisations operate include:

- Improved communication.
 - Access to global markets.
 - Access to a global workforce.
 - Use of big data to understand customer behaviour.
 - The way in which the organisation secures business information.
 - Increased competition.
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Transactional Data and Cookies

- **Definition:** An online transaction occurs whenever data is sent between devices on the internet. It relates to the movement of any data between connected devices, not just financial transactions.
- **Cookies:** Data tracking stores information in cookies on a user's computer so that the website will recognise that user when they use it again.
- **Data Stored in Cookies:**
 - The time and date of the transaction.
 - IP addresses.
 - The referring website.
 - The products, services, or categories viewed or bought.
 - Items added to the online shopping basket.
 - Buttons pressed by the user.
 - Data entered into web forms (name, address, credit card information).

Types of Cookies

- **Session Cookies:** Only stored until a web page is closed in the browser.
 - **Persistent Cookies:** Used to record information about the user's use of the internet over time. Can keep a user logged into an online account or allow advertisers to track internet use.
 - **Third-Party Cookies:** Used to personalise users' online experience or to send targeted adverts. They are used when web pages contain content such as banner advertisements from an ad server.
 - **Targeted Marketing:** Advertising that is matched to people based on their attributes or their browsing history using third-party cookies.
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End of chapter questions

- 1) Which one of these is not provided by banks as an online service? (1)
 - a) Paying in cheques
 - b) Transferring money
 - c) Viewing an account's balance
 - d) Applying for a loan
- 2) State two ways in which education providers can use online services to help learners. (2)
- 3) State three features of shopping sites. (3)
- 4) Explain why auction sites provide ratings for buyers. (2)
- 5) Explain why banks use HTTPS for their online services. (3)
- 6) Explain the benefit of e-ticketing for airline flights. (2)
- 7) State one drawback of the use of third-party cookies. (1)
- 8) State three examples of data that can be stored in cookies. (3)
- 9) State the difference between session cookies and persistent cookies. (1)
- 10) State the way in which news services can use a feature of smartphone apps to keep users up to date. (1)
- 11) Discuss how the use of cookies by organisations impacts on individuals. (8)